

Senate Bill No. 867

CHAPTER 189

An act to amend Section 22601 of, and to add and repeal Section 22604.5 of, the Business and Professions Code, relating to business regulations.

[Approved by Governor September 10, 2026. Filed with
Secretary of State September 10, 2026.]

LEGISLATIVE COUNSEL'S DIGEST

SB 867, Padilla. Toys: companion chatbots.

Existing law regulates the sale, manufacture, and exchange of toys in the state and prohibits the manufacture, sale, or exchange, possession with intent to sell or exchange, and exposition or offer for sale or exchange to a retailer a toy that is contaminated with a toxic substance, as provided. Violation of these provisions is punishable as a misdemeanor.

Existing law requires an operator of a companion chatbot platform, as defined, to issue a clear and conspicuous notification indicating that the companion chatbot is artificially generated and not human if a reasonable person interacting with a companion chatbot would be misled to believe that the person is interacting with a human. For these purposes, existing law defines a “companion chatbot” to mean an artificial intelligence system with a natural language interface that provides adaptive, human-like responses to user inputs and is capable of meeting a user’s social needs, including by exhibiting anthropomorphic features and being able to sustain a relationship across multiple interactions. Existing law also requires an operator to take certain actions with respect to a user the operator knows is a minor, including to disclose to the user that the user is interacting with artificial intelligence. Violation of these provisions is subject to civil liability.

This bill would, until January 1, 2031, prohibit the manufacture, sale, exchange, possession with intent to sell or exchange, and exposition or offer for sale or exchange to a retailer a toy, as defined, that includes a companion chatbot, and would make violations of the bill subject to the same civil liability as violations of the provisions applicable to operators of companion chatbots in the above-described paragraph.

The people of the State of California do enact as follows:

SECTION 1. Section 22601 of the Business and Professions Code is amended to read:

22601. As used in this chapter:

(a) “Artificial intelligence” means an engineered or machine-based system that varies in its level of autonomy and that can, for explicit or implicit

objectives, infer from the input it receives how to generate outputs that can influence physical or virtual environments.

(b) (1) “Companion chatbot” means an artificial intelligence system with a natural language interface that provides adaptive, human-like responses to user inputs and is capable of meeting a user’s social needs, including by exhibiting anthropomorphic features and being able to sustain a relationship across multiple interactions.

(2) “Companion chatbot” does not include any of the following:

(A) A bot that is used only for customer service, a business’ operational purposes, productivity and analysis related to source information, internal research, or technical assistance.

(B) A bot that is a feature of a video game and is limited to replies related to the video game that cannot discuss topics related to mental health, self-harm, sexually explicit conduct, or maintain a dialogue on other topics unrelated to the video game.

(C) A stand-alone consumer electronic device that functions as a speaker and voice command interface, acts as a voice-activated virtual assistant, and does not sustain a relationship across multiple interactions or generate outputs that are likely to elicit emotional responses in the user.

(c) “Companion chatbot platform” means a platform that allows a user to engage with companion chatbots.

(d) “Office” means the Office of Suicide Prevention established pursuant to Section 131300 of the Health and Safety Code.

(e) “Operator” means a person who makes a companion chatbot platform available to a user in the state.

(f) “Sexually explicit conduct” has the same meaning as defined in Section 2256 of Title 18 of the United States Code.

(g) “Toy” means a physical product designed, marketed, or manufactured for use in play by children under 16 years of age.

(h) “Video game” means a game played on an electronic amusement device that utilizes a computer, microprocessor, or similar electronic circuitry and its own monitor, or is designed to be used with a television set or a computer monitor, that interacts with the user of the device.

SEC. 2. Section 22604.5 is added to the Business and Professions Code, to read:

22604.5. (a) No person shall manufacture, sell, or exchange, possess with intent to sell or exchange, or expose or offer for sale or exchange to any retailer any toy that includes a companion chatbot.

(b) This section shall remain in effect only until January 1, 2031, and as of that date is repealed.